

# Obayashi Corporation (1802 JT)

Japan's #2 super-general contractor: record margins, net cash and a stock 32% off its high

Report date: 3 October 2026 | Reference price: JPY 3,008 (30 Sep 2026 close†) | Fiscal year ends 31 March (FY3/26 = year to March 2026)

**Rating: ACCUMULATE (moderately positive). 12-month target JPY 3,500 (+16%); probability-weighted value JPY 3,384 (+12%).** Net cash, a guidance record that is deliberately conservative, a regression-implied discount of c.23% to peers on EV/Sales, and an active capital-return and cross-holding-unwind programme support the shares. Against that: FY3/26 earnings were flattered by securities-sale gains, the order book is flat-to-down, margin is at a cyclical high, and material and labour inflation plus the Multiplex integration are live risks.

| Metric                          | Value                                      | Metric                                    | Value                            |
|---------------------------------|--------------------------------------------|-------------------------------------------|----------------------------------|
| Price / market cap              | JPY 3,008 / JPY 2,081bn                    | FY3/26 sales / OP                         | JPY 2,586bn / JPY 194.7bn (7.5%) |
| 52-wk high / low (YTD)          | JPY 4,439 (27 Feb 26) / 2,891 (19 Aug 26)† | FY3/26 net income / EPS                   | JPY 173.8bn / JPY 249.4          |
| Net cash (31 Mar 26)            | JPY 84bn†                                  | FY3/27 guidance (sales/OP/NI)             | JPY 2,945bn / 180bn / 157bn      |
| EV (mkt cap less net cash)      | JPY 1,997bn                                | DPS FY3/26 / FY3/27E                      | JPY 88 / JPY 94 (DOE c.5%)       |
| EV/Sales   EV/EBITDA*   EV/EBIT | 0.77x   8.2x   10.3x                       | P/E trailing   on guidance   on our FY27E | 12.0x   13.3x   12.5x            |
| P/B   dividend yield            | 1.58x   2.9%                               | Our EPS FY27E / 28E / 29E                 | JPY 242 / 229 / 235              |

\*EBITDA is estimated as operating income plus an assumed JPY 50bn of depreciation and amortisation; D&A could not be retrieved. † = from search-result summaries, not verified against a primary filing. See the Data Confidence note on the last page.

## Read this first: data limitations

This environment could not open Obayashi's investor-relations site, EDINET, JPX, Kabutan or Yahoo pages (blocked by the network egress policy), and the Financial Datasets feed returned no credits. Every number here comes from web-search result summaries of primary and secondary sources. Where figures conflicted we say so, and where nothing could be found we write 'n/a'. **The most important figures (FY3/26 results, FY3/27 guidance, Q1 FY3/27 results, board and shareholder lists) were corroborated by at least two independent summaries; peer multiples, price history and capital-structure detail were not.** Before committing capital, tie the flagged items to the FY3/26 tanshin, the 2026 Integrated Report and the securities report (yuho).

## 1. Investment summary

- What it is:** Japan's second-largest listed general contractor by FY3/25 sales (JPY 2.59tn vs Kajima 2.91tn), building offices, data centres, factories and hospitals, plus tunnels, dams and rail, with a third of sales overseas (US, Asia, and from late 2026 Australia/UK/Canada via Multiplex).
- The earnings reset is real:** operating margin rose from 2.1% (FY3/22) to 7.5% (FY3/26) on selective order-taking, price escalation, change orders on large domestic building jobs, and fewer loss-making legacy projects. Operating income is up 4.7x in four years.
- But the FY3/26 EPS of JPY 249 flatters:** net income (JPY 173.8bn) was 85% of ordinary income (JPY 204bn). A normal tax-adjusted ratio is c.68-70%, implying roughly JPY 30-35bn of net one-off gains (securities sales), an inference we cannot confirm without the tanshin. Q1 FY3/27 net income (JPY 39bn) again exceeded operating income because of a c.JPY 20bn securities gain.
- Guidance is a sandbag, not a forecast:** for FY3/26 management guided net income down 32% to JPY 100bn (the shares fell c.9% intraday on 13 May 2025); the outcome was JPY 173.8bn. For FY3/27 it guides OP JPY 180bn (-7.5%) and NI JPY 157bn (-9.6%); Q1 delivered 19.9% of full-year ordinary-profit guidance against a five-year average of 16.2%, and consensus ordinary profit (JPY 193bn) already sits 5% above guidance.
- Valuation is undemanding but no longer cheap against its own history:** 12x trailing P/E, 8.2x EV/EBITDA (c.7x after deducting JPY 289bn of cross-held shares), 1.6x P/B, JPY 84bn net cash, c.8% free-cash-flow yield on a CFO+CFI proxy. A seven-peer regression of EV/Sales on EBIT margin ( $R^2$  0.86) implies 0.95x vs 0.77x actual, a c.23% discount.
- Capital return is the engine:** DOE target c.5%, JPY 100bn buyback programme through FY3/27 (c.JPY 70bn executed or announced†), cross-holdings of JPY 289bn (21.9% of net assets) being cut to the 20% ceiling by March 2027 with JPY 58bn already contracted, and a successor mid-term plan due around May 2027.

- **Key risks:** (1) cost inflation in a fixed-price backlog (Middle East-driven naphtha-material disruption, labour), (2) the Multiplex acquisition (USD 540m for a thin-margin Australian/UK builder with a history of fixed-price disputes), (3) an order book that is not growing (Q1 orders -7.2%), (4) margin mean-reversion after a 4.7x profit recovery, and (5) a regulatory and reputational tail from the Linear bid-rigging legacy.

## Our view in one table

|                                 | Bear (30%)       | Base (50%)       | Bull (20%)       |
|---------------------------------|------------------|------------------|------------------|
| <b>FY3/28E operating income</b> | JPY 150bn        | JPY 197bn        | JPY 225bn        |
| <b>FY3/28E EPS</b>              | JPY 167          | JPY 229          | JPY 259          |
| <b>EV/EBITDA applied</b>        | 6.5x             | 8.5x             | 9.5x             |
| <b>Value per share</b>          | JPY 2,354 (-22%) | JPY 3,530 (+17%) | JPY 4,564 (+52%) |

Probability-weighted value JPY 3,384 (+12%). Equity value = EBITDA x multiple + net cash (JPY 84bn) + 75% of cross-held shares (JPY 289bn x 0.75) on 680m shares. Full assumptions in Section 21.

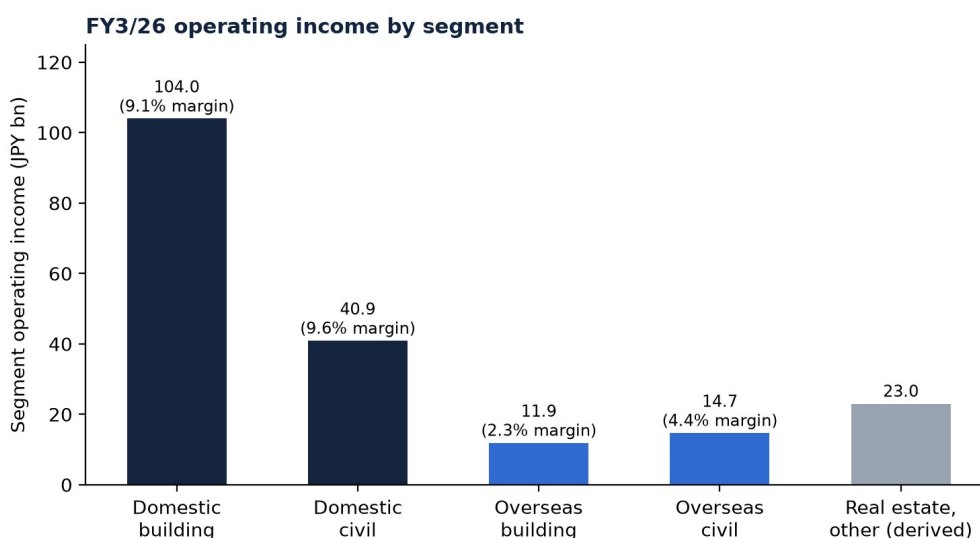
## 2. Layman's guide: what Obayashi does and how it makes money

Obayashi is a builder. Clients (a property developer, a railway company, a government ministry, a chipmaker, a data-centre operator) hire Obayashi to design and construct something. Obayashi usually agrees a price up front, hires hundreds of specialist subcontractors, buys steel, concrete and equipment, and earns the difference between the contract price and what the job really costs. It is paid in stages as the work progresses (progress billings), with government clients often paying a sizeable advance at the start.

- **Revenue = contracts won x how much of each job is finished this year.** It is recognised as work proceeds (cost-to-cost percentage of completion), so today's order wins become sales over 2-4 years.
- **Profit = contract price - actual cost.** The margin is thin (5-10% operating), and the whole game is pricing jobs properly, controlling costs, and getting paid for changes the client asks for mid-build.
- **A small property arm** builds and sells or leases buildings (including data-centre sites); this is lumpy but high-margin.
- **Overseas** (c.33% of sales) means mostly US construction through subsidiaries (Webcor, Kraemer, E.W. Howell, James E. Roberts-Obayashi, MWH, GCON) plus Asian subsidiaries; Australia/UK/Canada is being added via the Multiplex deal.

| Division                             | What it builds                                                     | FY3/26 sales (JPY bn) | % of sales | FY3/26 OP (JPY bn) | OP margin | % of OP |
|--------------------------------------|--------------------------------------------------------------------|-----------------------|------------|--------------------|-----------|---------|
| <b>Domestic building</b>             | Offices, high-rises, factories, data centres, hospitals, logistics | 1,138.8               | 44%        | 104.0              | 9.1%      | 53%     |
| <b>Domestic civil engineering</b>    | Tunnels, dams, rail, roads, ports, renewables civil                | 426.6                 | 16%        | 40.9               | 9.6%      | 21%     |
| <b>Overseas building</b>             | US/Asia commercial, tech, healthcare                               | 508.0                 | 20%        | 11.9               | 2.3%      | 6%      |
| <b>Overseas civil engineering</b>    | Infrastructure, rail, water                                        | 336.0                 | 13%        | 14.7               | 4.4%      | 8%      |
| <b>Real estate + other (derived)</b> | Development, leasing, renewables, wood, group services             | 177.0                 | 7%         | 23.0               | c.13%     | 12%     |
| <b>Group total</b>                   |                                                                    | 2,586.3               | 100%       | 194.7              | 7.5%      | 100%    |

Source: BUILT/ITmedia and japanir summaries of the FY3/26 tanshin; segment sales are secondary-source figures†. 'Real estate + other' sales and OP are derived as group total less the four construction segments (construction segment total: sales JPY 2,409.3bn, OP JPY 171.7bn). Overseas segment OP margins are well below Japan's; overseas civil OP is JPY 8.3bn in one summary, so treat that line as uncertain.



**The one-line version:** Obayashi earns about 9-10 yen of operating profit per 100 yen of Japanese contracts and about 3 yen per 100 yen overseas. Japan is c.67% of sales but c.86% of operating profit, so the investment case is largely a bet on Japanese construction pricing discipline.

### 3. What has moved the stock: catalysts since 2021

We could not retrieve a daily price series, so this table lists events we can date, with the move where a source gave one. Over five years the shares roughly tripled to the February 2026 peak of JPY 4,439 (approx. JPY 1,000 in late 2021; approximate, from memory†) before falling 35% to JPY 2,891 on 19 August 2026. Only one single-session move of more than 10% could be dated (5 March 2024); most of the re-rating came in multi-week legs driven by earnings, not single days.

| Date           | Event                                                                                                                    | Move                                                            | Read-through                                                                                               |
|----------------|--------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------|------------------------------------------------------------------------------------------------------------|
| 7 Nov 2022     | FY3/23 forecast cut: construction-material inflation and delivery delays hit domestic building (gross profit -JPY 9.5bn) | n/a                                                             | Trough-margin signal; sets up the pricing-discipline pivot                                                 |
| 28 Jun 2023    | Silchester shareholder proposal (JPY 12 special dividend) gets c.26.8% support                                           | n/a                                                             | First clear sign of investor pressure on capital returns                                                   |
| early Mar 2024 | Capital policy: ROE 10%+ target, DOE c.5%, large dividend increase (formalised in 13 May 2024 plan addendum)             | Limit-up on 5 Mar 2024 (>10%; exact % n/a)                      | The re-rating catalyst: dividends, buybacks and cross-holding sales                                        |
| Nov 2024       | Domestic broker upgrade to Outperform (target 2,100 to 2,400)                                                            | n/a                                                             | Sell-side validation of margin recovery                                                                    |
| 10 Feb 2025    | Buyback of up to 20m shares (2.8%) as first tranche of JPY 100bn programme                                               | n/a                                                             | Capital return begins                                                                                      |
| 13 May 2025    | FY3/26 guidance: net income -32% to JPY 100bn                                                                            | c.-9% in the afternoon session†                                 | Over-conservative guidance; recovered as results beat                                                      |
| Aug 2025       | Share cancellation and JPY 40bn buyback announced†                                                                       | n/a                                                             | Continued return of capital                                                                                |
| Nov 2025       | FY3/26 forecast raised                                                                                                   | n/a                                                             | Margin upside begins to show                                                                               |
| 27 Feb 2026    | All-time high JPY 4,439 (after Q3 results with ordinary profit +33%, below consensus)                                    | Peak                                                            | Peak optimism on margins and the capital-return story                                                      |
| 13 May 2026    | FY3/26 results beat forecast; FY3/27 NI guided -9.6%                                                                     | -7.8% intraday (to JPY 3,612) after a large gain the day before | Market punishes the earnings-down guide despite pattern of beating                                         |
| 7 Aug 2026     | Q1 FY3/27: OP +107%, orders -7.2%, guidance unchanged                                                                    | n/a (c.JPY 2,990 by 28 Aug)                                     | Strong profit, soft orders, no raise                                                                       |
| 19 Aug 2026    | YTD low JPY 2,891                                                                                                        | -35% from the February peak                                     | Cause not identified in our sources; likely sector de-rating plus rate, cost and order worries (inference) |

What the stock has been pricing: from 2023 to early 2026, margin recovery plus governance reform (cross-holding sales, DOE, buybacks) re-rated the shares from sub-1x book to c.2.3x. Since February, the market has begun to price margin peaking, flat orders and higher rates (the BOJ policy rate was reportedly raised to 1.25% on 18 September 2026†).

## 4. Business model, drivers, customers, suppliers and competitors

### 4.1 Key drivers

| Driver                               | How it works at Obayashi                                                           | Recent trend                                                                              |
|--------------------------------------|------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|
| <b>Volume (orders, backlog)</b>      | Orders convert to sales over 2-4 years; backlog gives visibility                   | FY3/26 orders c.JPY 3.0tn†; FY3/27 target JPY 3.1tn; Q1 orders JPY 577.5bn (-7.2%)        |
| <b>Pricing / contract terms</b>      | Selective bidding, negotiated contracts, price-escalation clauses, change orders   | Gross margin on completed works guided at 13.0% for FY3/27 and 'around 13%' beyond        |
| <b>Mix</b>                           | Domestic building and civil earn 9-10%; overseas 2-4%; real estate gains are lumpy | Overseas share c.33%; GCON, MWH and Multiplex raise it further                            |
| <b>Cost inflation</b>                | Steel, cement, ready-mix, naphtha-based finishes, labour                           | Cement flat since June 2025; Middle East disruption to naphtha-derived materials†         |
| <b>Labour / regulation</b>           | 2024 overtime cap, technician shortage, Construction Business Act revisions        | Pushes up unit labour cost; also restrains capacity industry-wide                         |
| <b>Capex cycle of clients</b>        | Tokyo redevelopment, data centres, semiconductors, logistics, resilience plan      | Resilience plan FY2026-30 'over JPY 20tn†'; Linear Shizuoka agreement signed 18 Jul 2026† |
| <b>Securities and property gains</b> | Cross-holding sales and property disposals flow into extraordinary income          | JPY 20bn gain in Q1 FY3/27; JPY 285bn sold over five years†                               |

### 4.2 Customers, contracts and payment terms

- **Public sector:** MLIT, NEXCO, JR Tokai (Linear), the Japan Railway Construction, Transport and Technology Agency, local governments. Awarded via competitive or comprehensive-evaluation tenders; public works commonly carry an advance payment (up to 40% of contract value is standard practice†, not confirmed in a filing).
- **Private sector:** developers (Mitsui Fudosan, Mitsubishi Estate, Mori Building, Sumitomo Realty, Tokyu are the typical Tokyo clients†), manufacturers, logistics and data-centre operators. Many are repeat clients on negotiated or limited-competition terms. We could not confirm named Obayashi contracts for TSMC/JASM or others.
- **Payment terms:** progress billings against milestones with retention; revenue recognised cost-to-cost; contract assets and receivables are large relative to cash flow (check the yuho for receivable days). Escalation ('slide') clauses exist on many public and some private jobs but typically lag cost moves; this lag is why the FY3/23 margin collapsed.
- **Supplier relationships:** Obayashi buys materials and equipment on a per-project basis and relies on an association of partner subcontractors (the 'Rinyukai'†). Supplier names are in Section 7.

### 4.3 Competitors and markets

Domestic: Kajima, Taisei, Shimizu and the unlisted Takenaka (the 'super general contractors'), with Daiwa House, Sekisui House, Toda, Haseko, Kumagai Gumi, Penta-Ocean, Okumura, Mitsui Sumitomo Construction (being acquired by Infroneer), Fujita and others in segments. FY3/25 sales: Kajima JPY 2,912bn, Obayashi 2,620bn†, Taisei 2,154bn, Shimizu 1,944bn. FY3/26 operating margins: Taisei c.9% (highest), Kajima c.7.7%, Obayashi 7.5%, Shimizu c.5.8%†. Overseas: Hochtief's Turner, Skanska USA, DPR, Gilbane in the US; Samsung C&T and Hyundai E&C in Asia; Webuild and local majors elsewhere†.

### 4.4 Geography

Japan c.67% of sales (c.JPY 1.74tn), overseas c.33% (JPY 844bn†): mainly North America, with Asia sales c.JPY 271bn†. Overseas operating margin is c.3% versus c.9.6% in Japan (derived). The Multiplex acquisition (Australia, UK, Canada) adds a third overseas leg, though at a very low sales margin (EBITDA c.USD 62m on c.USD 3.8bn revenue).

## 5. Macro and micro factors: tailwinds and headwinds

| Tailwinds                                                                                                                          | Headwinds                                                                                                                                                                                  |
|------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Large backlog and strong private non-residential demand: Tokyo redevelopment, data centres, semiconductor and logistics facilities | Cost inflation in a fixed-price book: Middle East-driven disruption in naphtha-derived finishes; one estimate cuts Japanese construction investment 2.3% by end-2027 and 3.8% by end-2028† |
| Industry pricing discipline: Big-4 selectively taking orders; Kajima, Taisei, Shimizu orders also guided below prior year          | Order intake: Q1 orders -7.2%; management cautious on the order environment from FY3/28, citing the Middle East                                                                            |
| National Resilience plan FY2026-30 (over JPY 20tn†) and Linear Shizuoka section agreement (18 Jul 2026†)                           | Rates: BOJ policy rate reportedly 1.25% after the 18 Sep 2026 hike†; higher hurdle rates can delay developer capex                                                                         |
| Weak yen helps translated overseas profit and US data-centre scale-up (GCON, Webcor)                                               | Labour shortage and the 2024 overtime cap lift unit costs and lengthen schedules                                                                                                           |
| Governance reform: cross-holding sales, buybacks, DOE 5%, rising foreign ownership (40%)                                           | Peak-margin risk: 7.5% OP margin vs 2-5% for most of the prior decade                                                                                                                      |
| Net cash of JPY 84bn funds M&A (Multiplex USD 540m) without stretching the balance sheet                                           | Legal/reputational overhang from the Linear bid-rigging cases (JFTC surcharge JPY 3.1bn, JPY 200m court fine, 4-month Tokyo suspension)                                                    |

## 6. Product strength and economic moats

Obayashi's product is execution on large, complex, safety-critical projects, sold on track record, technical capability (high-rise, tunnelling, seismic, timber, data centres) and relationships. It is not a consumer brand; its 'brand' lives with a few hundred repeat clients, and the Big-4 are close substitutes on most jobs. Obayashi's perceived strengths are tall buildings, tunnelling, wood construction and design-build; Kajima is stronger in civil and overseas scale, Taisei in margin and large infrastructure, Shimizu in housing-adjacent and energy (positioning from industry commentary, not survey data).

| Moat category                           | Rating          | Evidence and assessment                                                                                                                                                  |
|-----------------------------------------|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Brand</b>                            | Moderate        | Strong with repeat clients and in tall buildings; marked by the Linear scandal in public works; no consumer pricing power                                                |
| <b>Hard assets</b>                      | Weak            | Asset-light contractor (plant, depreciation c.JPY 50bn est.); the assets that matter are people, systems and balance sheet                                               |
| <b>Long-term contracts</b>              | Moderate        | Backlog c.1.1x sales† gives 2-3 years of visibility, but contracts are one-off, not recurring, and cancellation/postponement risk exists                                 |
| <b>Network effect</b>                   | None            | None, other than JV and subcontractor-network depth                                                                                                                      |
| <b>Regulatory and switching costs</b>   | Moderate        | Construction licences, public-works eligibility ratings, safety records and capacity limits; clients can switch bidder per project, but repeat negotiated work is sticky |
| <b>Oligopolistic structure</b>          | Strong          | Four super-GCs dominate large Japanese projects; rational pricing since 2023 and consolidation among mid-tier firms (Taisei-Toyo, Infroneer-SMCC, Shimizu-Nippon Road)   |
| <b>Cash-flow predictability</b>         | Moderate        | Operating CF swung JPY 50bn to JPY 253bn in five years† on working-capital timing; earnings volatile with cost shocks (FY3/23, FY3/24)                                   |
| <b>Scalability</b>                      | Weak-moderate   | Labour-constrained; growth requires technicians, not capital. Overseas growth by acquisition                                                                             |
| <b>Government interference history</b>  | Weak            | Bid-rigging convictions (Linear), JFTC orders, public-works suspensions; but also a beneficiary of resilience spending                                                   |
| <b>Bargaining power vs stakeholders</b> | Moderate-strong | Strong over subcontractors and suppliers (scale, payment); moderate vs developers and public clients; capacity constraints currently favour contractors                  |

**Moat verdict:** a narrow, cyclical moat built on oligopoly structure and capacity scarcity, not on product differentiation. It is strongest in the current up-cycle and weakest when order books thin and bidders discount to fill capacity.

## 7. Supply chain map

Obayashi supply chain: upstream inputs to end customer



Names are typical industry participants; specific Obayashi contracts mostly not disclosed. \*Rinyukai membership not verified.

| Layer                | Participants (companies)                                                                                                                                                                                                   | Obayashi's position and leverage                                                                 |
|----------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------|
| <b>Raw materials</b> | Nippon Steel, JFE Steel, Tokyo Steel, Yamato Kogyo (steel/rebar); Taiheiyo Cement, UBE Mitsubishi Cement, Sumitomo Osaka Cement; AGC (glass); regional ready-mix co-ops; paint and waterproofing chemicals (naphtha-based) | Price-taker on commodity prices; scale buyer; relies on escalation clauses and fast pass-through |

| Layer                         | Participants (companies)                                                                                                                                                                                                                                               | Obayashi's position and leverage                                                            |
|-------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------|
| <b>Equipment and systems</b>  | Mitsubishi Electric, Hitachi, Toshiba Elevator; Daikin, Takasago Thermal, Taikisha, Kinden (HVAC/MEP); Komatsu, Hitachi Construction Machinery, Kobelco; Herrenknecht (TBM)                                                                                            | Specifier and integrator; competes on coordination; supplier capacity tight in data centres |
| <b>Trades and labour</b>      | Specialist subcontractors (partner association†); technician and foreign trainee labour pool                                                                                                                                                                           | Dominant buyer but labour-short; unit costs rising; 2024 overtime cap                       |
| <b>Design and JV partners</b> | In-house design; Nikken Sekkei, Nihon Sekkei; JV partners Kajima, Taisei, Shimizu, Takenaka, Hazama Ando on mega-projects                                                                                                                                              | Competitor-collaborators; JV risk-sharing on civil mega-projects                            |
| <b>Obayashi group</b>         | Obayashi (parent); Webcor, Kraemer North America, E.W. Howell, James E. Roberts-Obayashi, MWH Constructors, GCON (US); Multiplex (AU/UK/CA, pending); Thai Obayashi, Obayashi Singapore, Taiwan and Indonesian units; Obayashi Shinseiwa Real Estate; Cypress Sunadaya | Design-build integrator: where the margin is made and the risk sits                         |
| <b>Customers</b>              | MLIT, NEXCO, JR Tokai, JRJT, local governments; developers (Mitsui Fudosan, Mitsubishi Estate, Mori Building, Sumitomo Realty, Tokyut); manufacturers, fabs and data-centre operators; US technology, healthcare and water clients                                     | Concentrated public clients with leverage on price; repeat private clients                  |
| <b>Enablers</b>               | Banks (MUFG, SMBC, Mizuho typical†); insurers and surety; JCR/R&I; regulators MLIT, JFTC, labour standards offices                                                                                                                                                     | Net cash means low dependence on lenders                                                    |

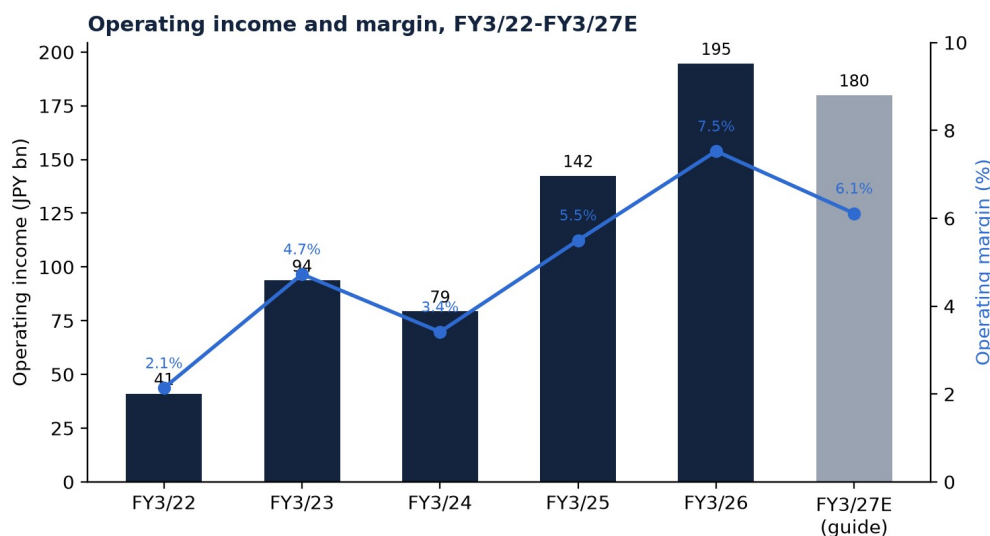
Obayashi's own filings do not name its key suppliers or customers beyond the public sector and standard industry disclosure; named entities above are well-documented industry participants rather than disclosed Obayashi contracts†.

## 8. Financial performance: five years, segments, geography and KPIs

### 8.1 Consolidated (JPY bn, JGAAP, fiscal years ending March)

|                                    | FY3/22  | FY3/23  | FY3/24  | FY3/25  | FY3/26  | FY3/27E guide |
|------------------------------------|---------|---------|---------|---------|---------|---------------|
| <b>Net sales</b>                   | 1,922.9 | 1,983.9 | 2,325.2 | 2,590.8 | 2,586.3 | 2,945.0       |
| <b>growth</b>                      | n/a     | +3.2%   | +17.2%  | +11.4%  | -0.2%   | +13.9%        |
| <b>Operating income (EBIT)</b>     | 41.1    | 93.8    | 79.4    | 142.5   | 194.7   | 180.0         |
| <b>EBIT margin</b>                 | 2.1%    | 4.7%    | 3.4%    | 5.5%    | 7.5%    | 6.1%          |
| <b>EBITDA (est., D&amp;A c.50)</b> | c.90    | c.144   | c.129   | c.192   | c.245   | c.230         |
| <b>Ordinary income</b>             | 49.8    | 100.8   | 91.5    | 152.2   | 204.1   | 183.0         |
| <b>Net income (attributable)</b>   | 39.1    | 77.7    | 75.1    | 145.4   | 173.8   | 157.0         |
| <b>Net margin</b>                  | 2.0%    | 3.9%    | 3.2%    | 5.6%    | 6.7%    | 5.3%          |
| <b>EPS (JPY)</b>                   | 54.6    | 108.3   | 104.7   | 202.9   | 249.4   | c.229         |
| <b>DPS (JPY)</b>                   | 32      | 42      | 75      | 81      | 88      | 94            |

Source: search summaries of tanshin data (irbank/Kabutan-type tables for FY3/22-25; BUILT, Nikkei and japanir for FY3/26)†. FY3/27 EPS is guided NI over c.686m shares. EBITDA is an estimate (assumed constant D&A). Conflicts: a summary quoted FY3/25 sales of JPY 2,620bn; the 2,590.8bn figure is consistent with FY3/26 growth of -0.2%.



### Trend commentary

- FY3/22-23 (recovery from trough):** margin 2.1% to 4.7% as COVID disruption faded and legacy losses rolled off; November 2022 saw a forecast cut as materials inflation hit domestic building.

- **FY3/24 (inflation squeeze):** sales +17% but OP -15% on material and labour inflation and a weaker gross margin in building (non-consolidated completed-works margin was guided to 6.9%, -1.4pt†); the capital-policy shift in March 2024 came while earnings were weak.
- **FY3/25-26 (margin step-up):** OP +79% then +37%. Drivers named by the company: additional and change orders on large domestic building jobs, higher-margin projects, lower costs, real estate sales, and a fall in low-margin legacy backlog. FY3/26 sales were flat; all growth was margin.
- **FY3/27E:** sales +13.9% (early-stage projects, GCON consolidation) but OP -7.5% as new, lower-margin work enters the mix; gross margin guided at 13.0%.

## 8.2 Segments and geography

Only FY3/26 segment data could be retrieved. Prior-year segment tables sit in the tanshin PDFs (links in the Appendix). Obayashi does not disclose net income by segment.

| FY3/26 (JPY bn)              | Sales   | % sales | EBIT  | EBIT margin | EBITDA | Comment                                             |
|------------------------------|---------|---------|-------|-------------|--------|-----------------------------------------------------|
| Domestic building            | 1,138.8 | 44%     | 104.0 | 9.1%        | n/a    | Profit engine; change orders and better-margin jobs |
| Domestic civil               | 426.6   | 16%     | 40.9  | 9.6%        | n/a    | Public works; Linear and resilience-linked          |
| Overseas building            | 508.0   | 20%     | 11.9  | 2.3%        | n/a    | US; GCON consolidated from Dec 2025                 |
| Overseas civil               | 336.0   | 13%     | 14.7† | 4.4%        | n/a    | Expanding; one source gives OP 8.3bn                |
| Real estate, other (derived) | 177.0   | 7%      | 23.0  | c.13%       | n/a    | Includes property sales gains                       |
| Japan (derived)              | c.1,742 | 67%     | c.168 | c.9.6%      | n/a    | Domestic building + civil + real estate/other       |
| Overseas                     | 843.9   | 33%     | 26.6  | 3.2%        | n/a    | North America plus Asia (Asia sales c.JPY 271bn†)   |

Segment EBITDA is not derivable from the data retrieved (segment depreciation is in the yuho notes). Segment net income is not disclosed.

## 8.3 Operating KPIs

| KPI                                               | Latest                                                      | Trend / comment                                                                                       |
|---------------------------------------------------|-------------------------------------------------------------|-------------------------------------------------------------------------------------------------------|
| Orders received (consolidated)                    | FY3/26 c.JPY 3,009bn†; Q1 FY3/27 JPY 577.5bn                | Q1 -7.2% y/y; FY3/27 target JPY 3,100bn                                                               |
| Order backlog                                     | c.JPY 2,911bn at 31 Mar 2026†                               | c.1.1x sales; one summary shows a conflicting JPY 788bn (likely garbled)                              |
| Gross margin on completed works                   | Guided 13.0% FY3/27                                         | Company aims to hold c.13%; up from c.7% on one non-consolidated measure in FY3/24†                   |
| Operating margin                                  | 7.5% FY3/26; 5.2% Q1 FY3/27 (3.0% a year earlier)           | Seasonally weakest in Q1; Q1 progress vs full-year ordinary guidance 19.9% vs 16.2% five-year average |
| Overseas share of sales                           | c.33%                                                       | Rising with GCON and Multiplex                                                                        |
| ROE / ROIC                                        | 14.4% / 8.4% (company, FY3/26†); guided 12.3% / 7.4% FY3/27 | Above plan targets of 10% / 5%; our calc of ROE is c.13.5%                                            |
| Equity ratio                                      | 40.0%                                                       | Equity JPY 1,316bn (plan target JPY 1tn exceeded)                                                     |
| Operating cash flow / investing CF / financing CF | JPY 252.9bn / -84.4bn / -141.4bn†                           | Financing outflow reflects dividends and buybacks                                                     |
| Capex, D&A, headcount                             | n/a                                                         | Not retrieved; see yuho                                                                               |
| Cross-holdings (market value)                     | JPY 288.8bn = 21.9% of net assets†                          | Target 20% by March 2027; 17.5% including agreed sales                                                |

## 9. Earnings calls, sentiment and the latest result

**Caveat:** Obayashi's briefing Q&A transcripts (JP PDFs on its IR site) could not be opened. The summary below is reconstructed from results headlines, company releases and press summaries, so the sentiment read is qualitative.

### 9.1 What management is focused on

- **Profit over volume:** 'selective' order-taking and holding completed-works gross margin around 13%.
- **Capital efficiency:** ROE 10%+, DOE c.5%, JPY 100bn buyback programme, cross-holding reduction to 20% of net assets by March 2027.
- **Overseas and tech platform build-out:** MWH (water), GCON (data centres/semiconductors), Multiplex; real estate and data-centre development; wood and renewables.
- **Caution on the order environment from FY3/28** citing the Middle East situation and cost trends (FY3/26 Q4 Q&A†).

## 9.2 Sentiment trajectory (qualitative, headline-based)

| Period                 | Tone                         | Evidence                                                                     |
|------------------------|------------------------------|------------------------------------------------------------------------------|
| FY3/23 (Nov 2022)      | Defensive                    | Forecast cut as materials inflation and delivery delays hit building margins |
| FY3/24                 | Cautious, then reform-minded | Profit down 15%; March 2024 capital-policy pivot lifts sentiment             |
| FY3/25                 | Confident                    | Record profits; first buyback tranche; plan targets reached early            |
| Q3 FY3/26 (Feb 2026)   | Positive but not beating     | Ordinary +33% but below analyst consensus; stock hit ATH 27 Feb              |
| FY3/26 (13 May 2026)   | Prudent                      | Beat forecasts but FY3/27 guided down; shares -7.8% intraday                 |
| Q1 FY3/27 (7 Aug 2026) | Measured                     | OP +107%, guidance unchanged, orders -7.2%; progress 19.9% of ordinary guide |

Shift: from defensive (2022) to confident (2024-25) to deliberately conservative (2026). The tone is consistent with a management that has learned to guide low and beat.

## 9.3 Latest result: Q1 FY3/27 (April-June 2026, reported 7 August 2026)

| JPY bn           | Q1 FY3/27 | Q1 FY3/26 | Change | Comment                                                                  |
|------------------|-----------|-----------|--------|--------------------------------------------------------------------------|
| Net sales        | 623.4     | c.523.8   | +19.0% | Domestic building and civil progress on large backlog; GCON consolidated |
| Operating income | 32.7      | c.15.8    | +107%  | OP margin 5.2% vs 3.0%; also property sales                              |
| Ordinary income  | 36.4      | c.18.4    | +98.2% | 19.9% of FY guide (JPY 183bn) vs 16.2% five-year average                 |
| Net income       | 39.0      | c.18.1    | +116%  | Exceeds OP: c.JPY 20bn securities gain; not a clean read                 |
| Orders           | 577.5     | c.622     | -7.2%  | Down despite higher sales; target FY JPY 3,100bn                         |

- **Versus expectations:** consensus full-year ordinary profit stood at JPY 193.2bn vs company guidance JPY 183bn (kabuyohot), i.e. the Street was already above guidance. A Q1-specific consensus and surprise percentage could not be found; the Q1 print itself was well ahead of the year-ago base, and guidance was left unchanged.
- **Segment drivers:** domestic building (profitable large jobs), domestic civil and overseas civil volumes, GCON in overseas building, and property sales in real estate.
- **Margins:** operating margin 5.2% vs 3.0%; full-year guide implies 6.1%, which looks beatable if Q1 is representative, though Q1 is seasonally light.
- **Guidance and tone:** unchanged guidance (sales JPY 2,945bn, OP JPY 180bn, NI JPY 157bn); DPS JPY 94 (47 interim). Tone cautious on orders.
- **Balance sheet flags:** FY3/26 operating cash flow JPY 253bn vs investing outflow JPY 84bn; net cash JPY 84bn†. Watch contract assets and receivables, the Multiplex purchase (about JPY 86bn cash) and goodwill build.
- **Market reaction:** the shares were around JPY 2,990 by 28 August and hit the YTD low of JPY 2,891 on 19 August, i.e. the market sold a strong print: it is discounting margin peaking and order weakness, not Q1 earnings.
- **Unusual versus history:** net income above operating income for two consecutive periods (gain-driven); sales +19% with orders -7%; consensus above guidance.

## 10. EPS estimates, FY3/27 to FY3/29

Method: build ordinary income from operating income plus modest non-operating income, add an extraordinary-gain line for securities sales (the main swing factor), apply a 30% tax rate, and divide by a share count reduced by buybacks. Industry growth is modelled as low-single-digit nominal sales growth; no share gains assumed; price/mix held at a c.13% completed-works gross margin; operating leverage limited by labour and SG&A inflation; financing costs are immaterial given net cash.

| Scenario / year | Sales (JPY bn) | OP (margin) | Ordinary | Gains | NI  | Avg shares (m) | EPS (JPY) |
|-----------------|----------------|-------------|----------|-------|-----|----------------|-----------|
| Bear FY3/27E    | 2,900          | 170 (5.9%)  | 174      | 35    | 146 | 688            | 213       |
| Bear FY3/28E    | 2,900          | 150 (5.2%)  | 153      | 10    | 114 | 684            | 167       |
| Bear FY3/29E    | 2,900          | 140 (4.8%)  | 143      | 5     | 104 | 680            | 152       |
| Base FY3/27E    | 2,945          | 192 (6.5%)  | 197      | 40    | 166 | 686            | 242       |
| Base FY3/28E    | 3,030          | 197 (6.5%)  | 202      | 20    | 155 | 680            | 229       |
| Base FY3/29E    | 3,120          | 206 (6.6%)  | 211      | 15    | 158 | 672            | 235       |
| Bull FY3/27E    | 2,990          | 205 (6.9%)  | 211      | 40    | 176 | 686            | 256       |
| Bull FY3/28E    | 3,150          | 225 (7.1%)  | 231      | 20    | 176 | 678            | 259       |
| Bull FY3/29E    | 3,320          | 245 (7.4%)  | 251      | 15    | 186 | 668            | 279       |

- **Base case:** EPS JPY 242 / 229 / 235. FY3/27E OP of JPY 192bn is 7% above guidance (consensus c.JPY 193bn ordinary) with JPY 40bn of gains (Q1 JPY 20bn already booked). Gains fade and margin eases to c.6.5% as new, lower-margin work flows through, so EPS dips in FY3/28.
- **Underlying EPS (ex-gains)** is c.JPY 201 / 208 / 220, which is the right base for multiple-setting; FY3/26's JPY 249 included an estimated JPY 30-35bn of net one-off gains.
- **Share count:** c.692m today (market cap / price), falling c.1% a year if the JPY 100bn programme and a successor policy continue; no dilution from options (executive stock awards are small).

- **Dividend:** DOE c.5% on equity of c.JPY 1.3tn implies c.JPY 94-100 per share; base DPS 94 / 98 / 102.
- **Where we differ from the company:** FY3/27 OP JPY 192bn vs guidance JPY 180bn; where we may be wrong: a Middle East-driven cost shock hitting the backlog.

## 11. Capital structure

| 31 March 2026 (JPY bn)                               | Amount                          | Comment                                                                         |
|------------------------------------------------------|---------------------------------|---------------------------------------------------------------------------------|
| Cash and equivalents                                 | 430.9†                          | Plus short-term investments JPY 9.8bn                                           |
| Total interest-bearing debt                          | 356.5† (another summary: 344.0) | Mix of bonds, loans and commercial paper not retrieved                          |
| Net cash                                             | 84.2†                           | Net cash position; net debt/EBITDA c.-0.3x (EBITDA est. JPY 245bn)              |
| Total assets / equity                                | 3,143.4 / 1,316.5               | Equity ratio 40.0%; equity target of JPY 1tn exceeded                           |
| Investment securities (cross-holdings, market value) | 288.8                           | 21.9% of net assets; target 20% by Mar 2027; JPY 58.3bn agreed but not executed |
| Operating / investing / financing cash flow          | 252.9 / -84.4 / -141.4          | Financing outflow = dividends + buybacks net of debt                            |

- **Debt maturities, covenants, interest cost:** not retrievable from search summaries. Japanese corporate bonds of this issuer type typically carry a negative-pledge clause rather than financial maintenance covenants (general market practice†, not confirmed for Obayashi's bonds). Obayashi's net interest burden is small given net cash; we recommend checking the yuhu debt schedule.
- **Ratings:** a JCR long-term issuer rating of AA- (stable) appeared in one search summary but could not be tied definitively to Obayashi†. R&I and international ratings were not found.
- **Liquidity:** cash of JPY 431bn covers 1.2x gross debt. The Multiplex purchase (USD 540m, c.JPY 86bn) and a JPY 30bn remaining buyback are comfortably fundable; liquidity is not a concern.
- **What would change this:** a large fixed-price project loss, a working-capital reversal after the order-book expansion (operating CF has ranged from JPY 50bn to JPY 253bn in five years†), or a larger overseas acquisition.

## 12. Valuation versus peers and history

At JPY 3,008, market cap is JPY 2,081bn and EV (market cap less net cash) is JPY 1,997bn. Deducting the full JPY 289bn of cross-held shares gives an adjusted EV of JPY 1,708bn. Obayashi reports under JGAAP, which keeps operating leases off balance sheet; European peers report under IFRS 16, which lifts their EBITDA and EV. EV/EBITDA comparisons across the two are therefore biased in Obayashi's favour (looks cheaper), and EV/EBIT and P/E are cleaner.

| Company (ticker)        | Listed | EV/Sales | EV/EBITDA           | EV/EBIT          | P/E               | EBIT margin | Net debt/EBIT DA             |
|-------------------------|--------|----------|---------------------|------------------|-------------------|-------------|------------------------------|
| Obayashi (1802 JT)      | Yes    | 0.77x    | 8.2x (7.0x adj)     | 10.3x (8.8x adj) | 12.0x / 13.3x fwd | 7.5%        | -0.3x                        |
| Kajima (1812 JT)        | Yes    | 1.03x    | 10.8-12.3x          | n/a              | 15.3x fwd         | 7.7%        | n/a                          |
| Taisei (1801 JT)        | Yes    | 1.34x    | 10.3x               | n/a              | n/a (P/B 2.3x)    | 9.0%        | n/a                          |
| Shimizu (1803 JT)       | Yes    | 0.63x    | 8.2-8.4x            | n/a              | 12.9x fwd         | 5.8%        | n/a                          |
| Vinci (DG FP)           | Yes    | 1.25x    | 7.7x TTM / 6.9x fwd | 10.5x            | 14x               | 11.9%       | n/a                          |
| Skanska (SKA-B SS)      | Yes    | 0.52x    | 15.4x               | 14.7x            | 20x               | 3.5%        | n/a                          |
| Balfour Beatty (BBY LN) | Yes    | 0.27x    | 6.8x                | n/a              | 12.9x             | 2.1%        | n/a                          |
| Hochtief (HOT GR)       | Yes    | 0.59x    | n/a                 | 22.9x            | n/a               | 2.6%        | n/a                          |
| Bouygues (EN FP)        | Yes    | 0.48x    | 4.9-9.9x            | 9.6x             | 16.8x             | 3.3-5.0%    | n/a (conglomerate; excluded) |

Peer multiples are from aggregator search snippets (Marketscreener, TipRanks, Stockanalysis, Pitchbook), vary by date and source (e.g. Shimizu EV/EBITDA 8.2-13.5x in different sources, Kajima P/E 15.3x vs 17.4x), and EV figures are mixed-date. Treat them as indicative; a same-basis Bloomberg pull is needed before relying on them. Sales growth and FCF yield for peers were not retrieved; for Obayashi, FY3/26 sales growth -0.2%, FY3/27E +13.9%, and an FCF yield proxy of 8.1% (CFO JPY 253bn + investing CF -JPY 84bn = JPY 169bn, before financing).

### 12.1 Versus peers and history

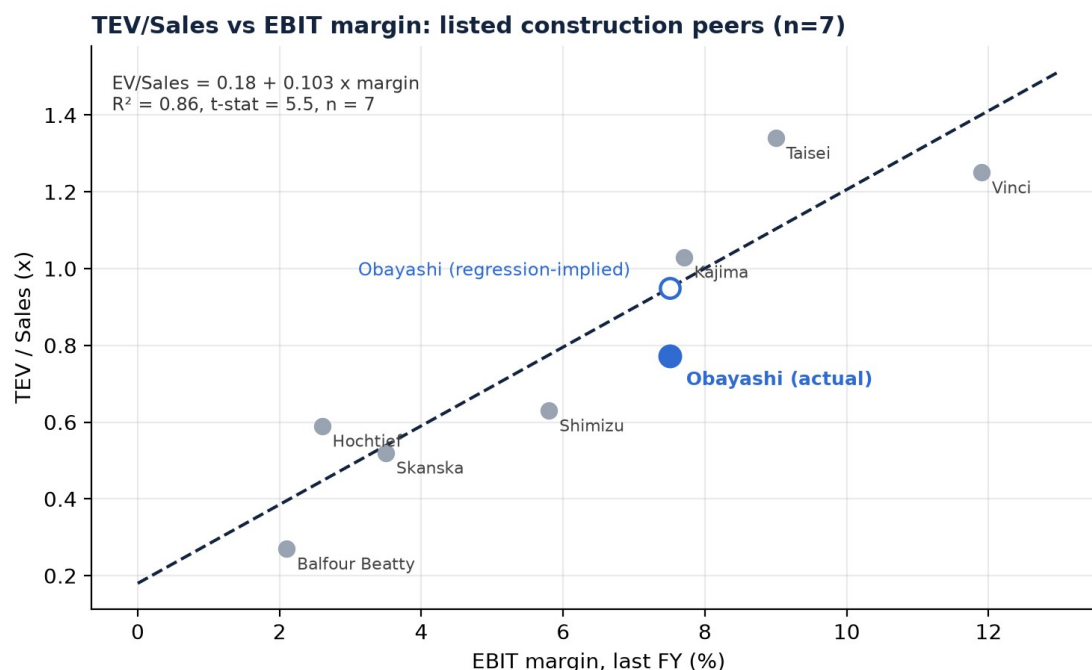
- **Versus Japanese Big-3:** EV/Sales of 0.77x compares with 0.63-1.34x; EV/EBITDA of 8.2x compares with c.8-12x; P/E of c.12-13x compares with 13-15x forward. Obayashi trades in the middle-to-lower half: cheaper than Taisei and Kajima, in line with Shimizu, despite a margin above Shimizu and in line with Kajima.
- **Versus global contractors:** at 8-10x EV/EBIT and 12-13x P/E, Obayashi is in line with Vinci/Balfour Beatty on P/E and cheaper than Skanska and Hochtief, but it has a much higher margin than Skanska/Balfour/Hochtief (2-4%), which argues for a premium.
- **Versus own history:** a historical series for P/E, P/B and EV/EBITDA could not be retrieved. From general knowledge, Obayashi traded at roughly 0.6-1.0x book and 8-12x earnings for much of 2015-2022† (approximate, unverified); at 1.6x

book today the shares trade well above their own 10-year range on P/B, but below their February 2026 peak (c.2.3x book).

**On earnings multiples (P/E c.12x) the stock sits within its historical range; on book multiple it is elevated.**

- **Conclusion: fair-to-modestly cheap.** Cheap on the regression and on a cross-holding-adjusted EV/EBITDA of c.7x; fair on P/E; not cheap on book. The discount is better explained by margin-sustainability doubts than by mispricing.

## 12.2 Regression: TEV/Sales versus EBIT margin



Source: aggregator snippets (Marketscreener, TipRanks, Stockanalysis), mixed dates; indicative. Obayashi EV = mkt cap 2,081bn less net cash 84bn.

OLS across seven listed peers (Vinci, Skanska, Balfour Beatty, Hochtief, Kajima, Taisei, Shimizu): EV/Sales = 0.18 + 0.103 x EBIT margin (%), R<sup>2</sup> = 0.86, t-statistic 5.5, n = 7. At Obayashi's 7.5% margin the regression implies 0.95x EV/Sales versus 0.77x actual, a c.23% gap. Implied EV is JPY 2,455bn; adding net cash of JPY 84bn gives equity value of JPY 2,539bn, or c.JPY 3,670 per share (+22%). Caveats: n is small; the peer set mixes Japanese and global names, IFRS and JGAAP, and two points (Vinci, Taisei) carry much of the slope; margins are last-year and EVs are mixed-date aggregator figures. The earlier reference deck's regression (6 peers, EBITDA margin vs EV/Sales, implying a c.70% gap) reflects a different set that includes ultra-luxury and apparel names, and is not comparable.

## 12.3 Competitor universe: listed and unlisted

| Competitor                          | Ticker                    | Status                                                 | Relevance                                                              |
|-------------------------------------|---------------------------|--------------------------------------------------------|------------------------------------------------------------------------|
| Kajima Corporation                  | 1812 JT                   | Listed (TSE)                                           | Super-GC; largest by sales; civil and overseas strength                |
| Taisei Corporation                  | 1801 JT                   | Listed (TSE)                                           | Super-GC; highest margin; acquiring Toyo Construction                  |
| Shimizu Corporation                 | 1803 JT                   | Listed (TSE)                                           | Super-GC; acquiring Nippon Road stake                                  |
| Takenaka Corporation                | none                      | Unlisted (private)                                     | Fourth super-GC; design-build; no public valuation                     |
| Daiwa House / Sekisui House         | 1925 JT / 1928 JT         | Listed (TSE)                                           | Housing and light commercial; overlap in logistics and some commercial |
| Toda / Haseko / Kumagai Gumi        | 1860 / 1808 / 1861 JT     | Listed (TSE)                                           | Mid-tier general contractors                                           |
| Penta-Ocean / Okumura / Hazama Ando | 1893 / 1833 / 1719 JT     | Listed (TSE)                                           | Marine, building and civil mid-tier                                    |
| Mitsui Sumitomo Construction        | 1821 JT                   | Listed; being acquired by Infroneer (5076 JT)          | Mid-tier; consolidation example                                        |
| Hochtief / Turner                   | HOT GR (ACS)              | Hochtief listed; Turner is its subsidiary              | US building competitor                                                 |
| Skanska / Vinci / Balfour Beatty    | SKA-B SS / DG FP / BBY LN | Listed                                                 | US/European competitors and valuation comps                            |
| Samsung C&T / Hyundai E&C           | 028260 / 000720 KS        | Listed (KRX)                                           | Asia overseas competitors                                              |
| DPR / Gilbane / Kiewit / Bechtel    | none                      | Private                                                | US data-centre, civil and industrial competitors                       |
| Multiplex                           | none                      | Private (Brookfield-owned; being acquired by Obayashi) | Australia/UK/Canada building                                           |

## 13. M&A: industry transactions, takeover appeal, and Obayashi's own deals

### 13.1 Industry context

Japanese contracting is consolidating at the mid-tier (Taisei-Toyo Construction, Infroneer-Mitsui Sumitomo Construction, Shimizu-Nippon Road, SMCC-road subsidiary) while the Big-4 buy overseas capability (Obayashi: MWH, GCON, Multiplex; Shimizu: Cross Management). In the US, specialty electrical and mechanical contractors are being bought at 7-11x EBITDA to capture data-centre demand. Japanese homebuilders (Sekisui House-MDC, Sumitomo Forestry-Tri Pointe, Daiwa House) are buying US housing. No priced 2024-26 deals for Kajima, Hochtief, Ferrovial or Skanska were found (not confirmed absent).

### 13.2 Comparable transactions, October 2021 to October 2026

| Target                          | Acquirer                | Announced   | Size                         | EV/EBITDA  | EV/Sales   | Note                                                                                        |
|---------------------------------|-------------------------|-------------|------------------------------|------------|------------|---------------------------------------------------------------------------------------------|
| Equans                          | Bouygues                | Nov 2021    | EUR 7.1bn EV                 | n/a        | c.0.59x    | 11.4x 2026E operating profit (company)                                                      |
| Cupertino Electric              | Quanta Services         | Jul 2024    | USD 1.5bn                    | c.9.1x     | c.0.70x    | Calc from guided EBITDA                                                                     |
| Miller Electric                 | EMCOR                   | Jan 2025    | USD 865m                     | 10.8x      | 1.07x      | Calc                                                                                        |
| CEC Facilities                  | Sterling Infrastructure | Jul 2025    | USD 505m                     | 9.6x       | c.1.25x    | Company multiple                                                                            |
| Dynamic Systems                 | Quanta Services         | Jul 2025    | USD 1.35bn                   | c.8.4x     | c.1.3x     | Mechanical/process                                                                          |
| Feyen Zylstra + Meisner         | Comfort Systems         | Oct 2025    | c.USD 170m                   | c.9.7x     | c.0.85x    | Calc                                                                                        |
| PayneCrest Electric             | Primoris                | Mar 2026    | USD 422m                     | c.10.5x    | c.1.17x    | Data-centre electrical                                                                      |
| The Superior Group (electrical) | MasTec                  | Jul 2026    | USD 1.65bn                   | c.7.0x     | c.1.0x     | Cash plus stock                                                                             |
| Multiplex Global                | Obayashi                | 18 Jun 2026 | USD 540m (headline USD 650m) | 8.7-10.5x  | 0.14-0.17x | Closest analogue: thin-margin building contractor; FY25 EBITDA c.USD 62m, revenue USD 3.8bn |
| TRC Companies                   | WSP                     | Dec 2025    | USD 3.3bn                    | 14.5x fwd  | c.2.8x     | Engineering consulting                                                                      |
| IBI Group                       | Arcadis                 | Oct 2022    | CAD 873m                     | 11.5x      | n/a        | Design/engineering                                                                          |
| Toyo Construction               | Taisei                  | Aug 2025    | c.JPY 130-160bn              | n/a        | n/a        | Premium 2.9% (6.4% to last close); P/B c.1.7-2.1x                                           |
| Mitsui Sumitomo Construction    | Infroneer               | 2025        | JPY 600/share                | n/a        | n/a        | Premium 10.3%                                                                               |
| Nippon Road (remaining stake)   | Shimizu                 | May 2025    | JPY 55.2bn                   | n/a        | n/a        | Premium 16.2%                                                                               |
| MDC Holdings                    | Sekisui House           | Jan 2024    | USD 4.9bn                    | n/a        | n/a        | P/B 1.33x, P/E 12.8x, premium 19%                                                           |
| Tri Pointe Homes                | Sumitomo Forestry       | Feb 2026    | USD 4.5bn                    | unverified | n/a        | Premium 28.5%                                                                               |

Statistics (our calculation): US specialty contractors (n=7) median EV/EBITDA 9.6x, mean 9.3x; EV/Sales median 1.07x. Broader set (n=12 including consulting) median 10.1x, range 7.0-14.5x. No Japanese contractor deal disclosed EV/EBITDA. Multiples marked 'calc' were computed from disclosed price and guided EBITDA, not company-stated. Japanese contractor deals show premiums of only 3-16% because most were friendly or parent-subsidiary unwinds.

### 13.3 Is Obayashi a takeover target?

| Pros (why a bid could happen)                                                                          | Impediments (why it probably will not)                                                                                                                                                    |
|--------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Net cash JPY 84bn plus JPY 289bn of cross-held shares; cash-generative                                 | Size: c.JPY 2.1tn market cap is 10x the largest Japanese contractor deal (Toyo, c.JPY 130-160bn); EV near JPY 2tn+                                                                        |
| Valuation below peers on EV/Sales (c.23% regression gap); P/E c.12x                                    | No credible financial buyer for a JPY 2.5-3tn contractor; LBO leverage capacity limited by thin margins and working-capital swings                                                        |
| Foreign ownership 40%; record 135 tender offers in Japan in 2025; METI 2023 guidelines legitimise bids | May 2026 METI update says boards may reject unsolicited bids; Tokyo court upheld the Makino poison pill                                                                                   |
| Strategic rationale for a foreign contractor (Vinci, ACS/Hochtief, Samsung C&T) seeking Japan scale    | Licensing and public-works eligibility, client relationships and subcontractor networks do not transfer; antitrust (JFTC) blocks a Big-4 merger                                           |
| Silchester precedent shows a shareholder base that responds to value arguments                         | Shareholders are diffuse (top holder: trust bank 15.5%), but the founding-family chairman (2.46%) and cross-holders (Nippon Life 2.1%) lean friendly; Linear legacy makes buyers cautious |

**Our assessment:** probability of a bid for the whole company within 12 months is below 5%. We found no rumours of private-equity or strategic interest and no Big-4 merger talk. If a bid did happen, a 25-40% premium to JPY 3,008 gives JPY 3,760-4,210 per share, i.e. EV/EBITDA of 10.3-11.6x and EV/Sales of 0.97-1.09x, consistent with US specialty-contractor comps (9.6-10.1x) and about equal to the February 2026 peak.

## 13.4 Acquisitions by Obayashi, October 2016 to October 2026

| Target                                         | Date                                                    | Stake   | Cost                                                              | Multiples                                 | Note                                                                                                   |
|------------------------------------------------|---------------------------------------------------------|---------|-------------------------------------------------------------------|-------------------------------------------|--------------------------------------------------------------------------------------------------------|
| MWH Constructors (US water)                    | Announced 11 Jan 2024                                   | 90%     | c.USD 126m (c.JPY 19bn†; not officially disclosed)                | n/a                                       | Water-infrastructure builder; merged into US civil                                                     |
| GCON Inc. + 2 affiliates (Arizona), via Webcor | 17 Oct 2025; closed 1 Dec 2025                          | 100%    | Undisclosed                                                       | n/a                                       | Data-centre, semiconductor, healthcare construction management in 10 states; consolidated in FY3/26 H2 |
| Multiplex Global (AU/UK/CA) from Brookfield    | 18 Jun 2026; closing targeted 30 Sep 2026 (unconfirmed) | 100%    | USD 540m (c.JPY 86bn); Bloomberg headline USD 650m incl. earn-out | 8.7-10.5x EBITDA; 0.14-0.17x sales (calc) | Largest Obayashi deal of the decade; FY25 revenue USD 3.8bn, EBITDA c.USD 62m, net income USD 71m      |
| Cypress Sunadaya (wood)                        | Consolidated FY2022                                     | n/a     | n/a                                                               | n/a                                       | Timber construction                                                                                    |
| Obayashi Road (minority buy-out)               | 2017 TOB                                                | to 100% | n/a                                                               | n/a                                       | Delisted; wholly owned                                                                                 |

Earlier US platform (outside the ten-year window): James E. Roberts-Obayashi (1978), E.W. Howell (1989), Webcor (2007), Kraemer North America (2014-15), Kenaidan (2011). No other acquisitions were found for 2017-2022. Multiplex is a USD 3.8bn-revenue business bought at c.0.15x sales for a company that historically earned thin margins and has had fixed-price project disputes (general knowledge†); it carries more integration and execution risk than the sub-USD 200m deals, though at c.4% of Obayashi's market cap the financial exposure is modest.

## 13.5 SK Telecom's holding in Anthropic

Nothing links SK Telecom (017670 KS) to Obayashi. We include the data in case it was requested for a different context.

| Item                      | Detail                                                                                                                                                                                                                                                                                            |
|---------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Shares held (30 Jun 2026) | 3,860,330 Anthropic shares, per SKT's H1 2026 report (reported by Asia Today, Newspim, Edaily, Herald)                                                                                                                                                                                            |
| Carrying value            | KRW 3.505tn at 30 Jun 2026, up from KRW 1.376tn at end-2025; c.KRW 908k per share                                                                                                                                                                                                                 |
| H1 2026 purchase          | 157,189 shares for KRW 139.9bn (c.KRW 890k per share)                                                                                                                                                                                                                                             |
| Original investment       | USD 100m in 2023 (instrument type not verified)                                                                                                                                                                                                                                                   |
| Ownership percentage      | c.0.24% (our calc: Series H of 28 May 2026 at USD 965bn valuation and up to USD 589.01 a share implies c.1.64bn shares); Hana Securities cites 0.3%. Originally c.2%, diluted by later rounds                                                                                                     |
| Implied value             | c.USD 2.3bn at USD 589 a share (our calc); KRW 3.5tn carrying value (c.USD 2.5bn at KRW 1,380/USD, FX assumed)                                                                                                                                                                                    |
| Discrepancies             | One Korean source says 0.5-0.7%, inconsistent with the share count; a Morningstar USD 17.6bn figure implies c.2% and looks stale. Anthropic has not published its share count (IPO filing confidential). Accounting classification (FVTPL/FVOCI) not found; the DART filing was not read directly |

## 14. Management assessment

| Executive                                        | Role / tenure                                                                  | Track record and holdings                                                                                                                                                                                                                                                                                                            |
|--------------------------------------------------|--------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Toshimi Sato (66)                                | President and CEO since 1 Apr 2025; director since 2018                        | Finance and planning career (head of Finance 2013, Corporate Planning 2015); first non-engineer, non-family president. Has presided over the best results in the group's recent history (OP JPY 195bn in FY3/26), a JPY 100bn buyback, GCON and Multiplex. Shareholding and pay not in the disclosed list (below JPY 100m threshold) |
| Takeo Obayashi (72)                              | Chairman; founding family; director since 1983                                 | Holds 16.9m shares (2.46%, c.JPY 51bn at JPY 3,008); meaningful skin in the game. Pay JPY 118m (FY3/25). Sources conflict on when he became chairman (2003, 2009 or Apr 2023)                                                                                                                                                        |
| Kenji Hasuwa (72)                                | Vice Chairman (non-representative) since Apr 2025; President Mar 2018-Mar 2025 | Civil engineer who took over after the Linear bid-rigging forced out his predecessor; delivered the recovery and MWH acquisition. Pay JPY 169m (FY3/25)                                                                                                                                                                              |
| Yasuo Morita; Yoshihito Sasaki; Atsushi Sasagawa | Representative directors / vice chairman (changes Apr and Jun 2026)            | Details thin. The 6 Mar 2026 notice made Morita a representative director; Sasagawa gave up representation and moves to Vice Chairman, though one summary still lists him as a director. Verify against the AGM notice                                                                                                               |
| CFO / finance head; business-unit heads          | Not found                                                                      | Not retrievable; Sato himself ran Finance 2013-15, which is relevant for capital policy                                                                                                                                                                                                                                              |

### Assessment on the five tests

- 1. Track record:** strongly positive since 2023. Profit up 4.7x, ROE c.14% vs a 10% target, ROIC 8.4% vs 5% target (company-stated†). Much of the improvement is cycle and pricing, but cost control and order selection are management's doing.
- 2. Tenure and ownership:** CEO new (18 months); chairman has real ownership; executive share-based pay is modest. No evidence of large insider selling was retrievable.

- **3. Capital allocation:** improving. Positives: DOE target, buybacks, a credible cross-holding exit, small, sensible bolt-ons (MWH, GCON). Negative: Multiplex is a bigger bet on a low-margin business; the past decade included an unproductive balance-sheet cash build.
- **4. Red flags:** the Linear bid-rigging (self-reported; JFTC surcharge c.JPY 3.1bn, JPY 200m court fine, 4-month Tokyo suspension, president resigned 2018); an October 2024 safety incident at a Chuo Shinkansen tunnel where employees gave false information to inspectors (JPY 200,000 summary fines, March 2026). We found no related-party issues, accounting restatements or promotional behaviour. Strategy has evolved consistently (MTP 2017, 2022, 2024 addendum), not erratically.
- **5. Founder vs professional:** hybrid. Salaried-manager presidents since 2011 with a family chairman and a 2.46% holding; no controlling holder. This suits a mature, process-driven contractor in a capital-discipline phase; the risk is slower decision-making and succession politics.

## 15. Board of directors (after the 122nd AGM, 29 June 2026)

| Director                         | Status                           | Appointed           | Background and affiliations                                                            |
|----------------------------------|----------------------------------|---------------------|----------------------------------------------------------------------------------------|
| Takeo Obayashi                   | Chairman, inside                 | Director since 1983 | Founding family; 2.46% shareholder                                                     |
| Toshimi Sato                     | President and CEO, inside        | Jun 2018            | Waseda 1985; finance and planning; see Section 14                                      |
| Yoshihito Sasaki                 | Representative director, inside† | n/a                 | Background not found                                                                   |
| Atsushi Sasagawa                 | Inside (status conflicting)†     | n/a                 | Notice says moves to Vice Chairman; one summary lists him re-elected                   |
| Masako Orii (b. 1960)            | Outside, independent             | Jun 2020            | Ex-Suntory (joined 1983); exec officer Suntory Holdings 2012; MD Suntory Wellness 2016 |
| Hiroyuki Kato (b. 1956)          | Outside, independent             | n/a                 | Ex-Mitsui & Co. (joined 1979), executive-level                                         |
| Yukiko Kuroda (b. 1963)          | Outside, independent             | Jun 2022            | Ex-Sony; founder of People Focus Consulting (1991); outside auditor Astellas, CAC†     |
| Hiroyuki 注連 (reading unverified) | Outside, independent             | n/a                 | Ex-Unitika management†                                                                 |
| Yoshihiro Ikegawa (b. 1960)      | Outside, independent             | n/a                 | Ex-Mitsubishi Chemical (joined 1983); executive officer 2014                           |
| Midori Tomita                    | Outside, independent (new)       | Jun 2026            | Background not found                                                                   |

- **Composition:** 6 of 10 directors outside and independent (60%); 3 women (30%). Board uses a company-with-audit-and-supervisory-board structure with voluntary nomination and compensation committees chaired by outside directors.
- **Audit & Supervisory Board:** three new members from June 2026: Yoshiaki Takada (full-time), Yohei Ueda and Sachiko Tsujino (outside).
- **Changes in five years (partial):** Orii 2020; Kuroda 2022; Tomita 2026; auditor turnover 2026; CEO change April 2025. Appointment years for several outside directors, 2021-25 turnover and AGM approval ratios could not be retrieved. Source documents: the 122nd AGM notice and extraordinary report on voting results.

## 16. Shareholders, activism and short interest

| #  | Holder (31 Mar 2026)†                       | Shares (m) | %     | Type                                            |
|----|---------------------------------------------|------------|-------|-------------------------------------------------|
| 1  | Japan Master Trust Bank (trust account)     | 106.7      | 15.51 | Institutional (passive/index trust-bank)        |
| 2  | Custody Bank of Japan (trust account)       | 50.0       | 7.26  | Institutional (trust-bank)                      |
| 3  | State Street Bank & Trust 505001            | 25.2       | 3.66  | Foreign institutional custody                   |
| 4  | State Street Bank & Trust 505103            | 17.9       | 2.60  | Foreign institutional custody                   |
| 5  | Takeo Obayashi                              | 16.9       | 2.46  | Insider / founding family                       |
| 6  | Nippon Life Insurance                       | 14.6       | 2.13  | Strategic institutional (insurer, cross-holder) |
| 7  | Obayashi Group Employee Shareholding Assoc. | 12.6       | 1.83  | Employees                                       |
| 8  | JP Morgan Chase Bank 385781                 | 9.3        | 1.35  | Foreign institutional custody                   |
| 9  | BNY Mellon 140042                           | 9.2        | 1.33  | Foreign institutional custody                   |
| 10 | Goldman Sachs Securities (BNYM)             | 9.0        | 1.30  | Foreign broker/custody                          |

- **Mix:** foreign investors c.40%, financial institutions c.31.5% (2026 shareholder data†). Trust-bank accounts show nominee holdings; beneficial owners (e.g. BlackRock, Vanguard) are not visible in this list. No controlling holder. Large-shareholding (5%) reports for 2024-26 were not found.
- **Activism:** one campaign found. **Silchester International Investors** (2023 AGM) proposed a special dividend of JPY 12 a share (payout of 100% of non-core and 50% of core income). The board opposed; the proposal failed with c.26.8% support. The company's May 2024 plan addendum (ROE 10%+, DOE c.5%, JPY 100bn buyback, cross-holding sales) delivered much of what such investors wanted, so the campaign was partially successful in effect, if not in vote. No other activist (Oasis, Effissimo, Elliott, 3D, Dalton, ValueAct) was found at Obayashi; peers have drawn activism (Oasis at Kumagai Gumi; an activist push at Toyo that preceded Taisei's bid).

- **Short interest:** minimal. JPX margin data for 25 Jun 2026†: margin short 75,300 shares versus margin long 854,100 (ratio 11.3x), i.e. negligible against c.690m shares. Stock-lending balance and FSA disclosures of short positions above 0.5% were not found, and no notable short sellers were identified.

## 17. Strategic initiatives, last ten years

| Initiative                                                                      | Period  | Outcome and status                                                                                                                                                                                |
|---------------------------------------------------------------------------------|---------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Medium-Term Business Plan 2017                                                  | 2017-21 | Domestic profit rebuilding, overshadowed by the Linear scandal (2017-18) and civil/building margin problems. Partial                                                                              |
| Medium-Term Business Plan 2022 and May 2024 addendum                            | 2022-27 | Targets: OP JPY 100bn+, ROIC 5%+, later ROE 10%+, equity JPY 1tn. All exceeded (OP JPY 195bn, ROE c.14%). Success, helped by price pass-through and property gains. Successor plan due c.May 2027 |
| Capital-efficiency programme                                                    | 2024-27 | DOE c.5%, JPY 100bn buyback, cross-holdings to 20% of net assets. On track (21.9% at Mar 2026; 17.5% including agreed sales)                                                                      |
| US platform build-out                                                           | 2007-26 | Webcor, Kraemer, MWH, GCON now c.33% of sales overseas; margins still low (2-4%). Mixed but improving; data-centre exposure is the new leg                                                        |
| Multiplex acquisition                                                           | 2026    | USD 540m, closing targeted 30 Sep 2026. Too early to judge; integration risk                                                                                                                      |
| Obayashi Road take-private                                                      | 2017    | Simplified group; neutral                                                                                                                                                                         |
| Wood and sustainability (Cypress Sunadaya, wood high-rise, renewables, biomass) | 2018-26 | Small financially; strategic positioning on decarbonisation. Not quantified                                                                                                                       |
| Construction technology (Smart Construction, robotics)                          | ongoing | Productivity response to labour shortage; benefits not separately disclosed. Space-elevator concept is R&D marketing                                                                              |
| Real estate and data-centre development                                         | ongoing | c.JPY 100bn data-centre development investment mooted over a decade†; real estate gains boosted FY3/26                                                                                            |

## 18. Stakes in other companies

- **Cross-shareholdings (listed):** JPY 288.8bn at market value (21.9% of net assets) at March 2026, being cut to 20%; c.JPY 285bn sold over five years†; JPY 58.3bn of further sales contracted. The number of issuers and top holdings could not be retrieved. Financial relevance: a source of cash (c.JPY 20bn gain in Q1 FY3/27) and dividend income, and a governance overhang that is shrinking. Strategic relevance: customer and bank relationships.
- **Subsidiaries:** Webcor (US, 100%), Kraemer North America (control; one source says 56%), MWH (90%), GCON (100%), E.W. Howell, James E. Roberts-Obayashi, Kenaidan (Canada), Obayashi Shinseiwa Real Estate (100%), Thai Obayashi, Obayashi Singapore, Taiwan and Indonesian units; Cypress Sunadaya; Multiplex (pending). Group size c.98 subsidiaries and 26 affiliates (March 2022 figure†).
- **Unlisted / venture / funds:** not found. Equity-method income was not retrieved.

## 19. Shareholder returns, treasury shares and cancellations

| Fiscal year | DPS (JPY)                  | Payout (DPS/EPS) | Buybacks and treasury-share events                                                                                                            | Share count / cancellation           |
|-------------|----------------------------|------------------|-----------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------|
| FY3/22      | 32                         | 59%              | No programme found                                                                                                                            | c.718m issued†                       |
| FY3/23      | 42                         | 39%              | No programme found; Silchester special-dividend proposal rejected (Jun 2023)                                                                  | n/a                                  |
| FY3/24      | 75                         | 72%              | Capital policy announced Mar 2024: DOE c.5% (from c.3%); ROE 10% target                                                                       | n/a                                  |
| FY3/25      | 81                         | 40%              | 10 Feb 2025: up to 20.0m shares (2.8%), 12 Feb-30 Jun 2025; one-third (c.JPY 33bn) of the JPY 100bn plan; all acquired shares to be cancelled | c.721m shares at Mar 2025†           |
| FY3/26      | 88 (41 interim + 47 final) | 35%              | Final tranche 1-23 Jun 2025: 1.94m shares, JPY 4.25bn (avg c.JPY 2,194); Aug 2025: cancellation plus JPY 40bn buyback†                        | c.688-692m shares by 2026†           |
| FY3/27E     | 94 (47 + 47)               | c.41%            | c.JPY 30bn of the JPY 100bn plan left† (through March 2027)                                                                                   | Treasury-share balance not retrieved |

Treasury-share balances at each year-end, individual buyback amounts for FY3/22-24 and the exact number of shares cancelled could not be retrieved; they are in the tanshin share-data notes and the 'Status of acquisition of treasury shares' in each yuho. Financing cash outflow in FY3/26 (JPY 141bn) implies a total shareholder-return proxy of c.6.8% of market cap. Shares in issue (c.718m) versus c.688-692m now implies roughly 26-30m shares retired or held as treasury†. Dividend policy: DOE c.5%, with special dividends and buybacks flexible.

## 20. Adversarial analysis: bull, bear, pre-mortem, contrarian

### 20.1 Bull case

- **Structural pricing power:** four-firm oligopoly, capacity-constrained by labour; selective bidding has held gross margin c.13%; Japanese building-cost inflation is increasingly passed through.
- **Secular tailwinds:** Tokyo redevelopment, data centres and semiconductor fabs, national-resilience spending (JPY 20tn+ over FY2026-30†), Linear Shizuoka start, US data-centre build-out via GCON/Webcor.
- **Capital-allocation upgrade:** DOE 5%, JPY 100bn buyback, JPY 289bn of cross-holdings to monetise, JPY 84bn net cash. A new plan in May 2027 could lift the payout further; total shareholder yield of c.6-7% is a floor.
- **Earnings-surprise machinery:** management guides low; FY3/26 net income came in 74% above the initial JPY 100bn guide; Q1 progress is ahead of the five-year average.
- **Valuation:** 23% regression discount; c.7x adjusted EV/EBITDA; P/E c.12x. At the February 2026 peak the shares traded at c.18x FY3/26 EPS, so re-rating headroom exists if margins hold.

### 20.2 Bear case

- **Margin mean reversion:** a 4.7x profit recovery driven by a few large domestic building jobs and change orders; lower-margin new work enters from FY3/27 (guide OP -7.5%). Each 1pt of OP margin on JPY 2.9tn sales is JPY 29bn, or c.13% of EPS.
- **Permanent-impairment risks:** (1) a cost shock in the fixed-price backlog (Middle East supply disruption, labour); (2) a large overseas project loss, particularly Multiplex's fixed-price legacy; (3) a bid-rigging or safety event that triggers public-works suspension.
- **Order deceleration:** Q1 orders -7.2%; management flags caution from FY3/28; higher rates and weaker developer returns could delay private capex.
- **Earnings quality:** FY3/26 EPS of JPY 249 included c.JPY 30-35bn of estimated net one-off gains; underlying EPS is closer to JPY 205-215. The cross-holding gain source will run dry as the 20% target is met.
- **Expectations:** the stock tripled; at 12-13x P/E on peak-margin earnings the market already assumes margin sustainability.

### 20.3 Pre-mortem: it is October 2027 and the stock is at JPY 2,000. Why?

- A November 2026-May 2027 sequence of project-cost write-downs (naphtha-material delays turn into loss provisions on two or three large jobs) cuts FY3/27 OP to JPY 150bn.
- Orders fall 10% as developers defer on higher rates; backlog cover shrinks and peers discount to fill capacity, ending pricing discipline.
- Multiplex reports a loss-making legacy project; goodwill and provisions of JPY 20-30bn offset the purchase price, and the market re-rates Obayashi's overseas arm as a risk, not a growth leg.
- The successor plan (May 2027) lowers the payout ambition because earnings fell, removing the capital-return support.

### 20.4 Contrarian view: what the market may be refusing to see

The market is capitalising FY3/27 guidance (OP -7.5%) as the start of a normal contractor downcycle. We think guidance is deliberately low and that the 13% gross-margin plateau is structurally supported by labour-driven capacity constraints, not a peak. In that case the stock trades at c.10-11x underlying EPS and c.7x adjusted EV/EBITDA, with a 6-7% shareholder yield and an unwound cross-holding book still ahead. The real risk is not margin; it is a handful of large fixed-price jobs and a Multiplex integration going wrong. A tilt to that nuance, rather than 'peak margin', is where we see the edge.

## 21. Scenario analysis

|                                      | Bear (30%)                                                    | Base (50%)                                         | Bull (20%)                                                             |
|--------------------------------------|---------------------------------------------------------------|----------------------------------------------------|------------------------------------------------------------------------|
| <b>Narrative</b>                     | Cost shock and order slump; margin back to c.5%; gains dry up | Margin eases to 6.5%; orders flat; steady buybacks | Margin holds above 7%; data-centre and overseas growth; payout upgrade |
| <b>Sales growth FY3/28E</b>          | 0% (JPY 2,900bn)                                              | +2.9% (JPY 3,030bn)                                | +5.4% (JPY 3,150bn)                                                    |
| <b>Operating margin FY3/28E</b>      | 5.2%                                                          | 6.5%                                               | 7.1%                                                                   |
| <b>EBITDA FY3/28E (JPY bn)</b>       | 200                                                           | 247                                                | 295                                                                    |
| <b>EV/EBITDA multiple</b>            | 6.5x (trough contractor)                                      | 8.5x (Japan Big-3 discount)                        | 9.5x (US specialty-contractor median)                                  |
| <b>Equity value (JPY bn)</b>         | 1,601                                                         | 2,400                                              | 3,103                                                                  |
| <b>Value per share (680m shares)</b> | JPY 2,354 (-22%)                                              | JPY 3,530 (+17%)                                   | JPY 4,564 (+52%)                                                       |
| <b>Implied P/E on FY3/28E EPS</b>    | 14.1x                                                         | 15.4x                                              | 17.6x                                                                  |

Equity value = EBITDA x multiple + net cash JPY 84bn + 75% of JPY 289bn cross-held shares (JPY 217bn). Probability-weighted value: JPY 3,384 (+12%). 12-month target JPY 3,500, set at the base case less a small execution haircut. Downside to bear case is -22%, upside to bull case +52%, a c.2.3:1 skew on the extremes with the weighted outcome positive. Regression cross-check: JPY 3,670.

## 22. Fifteen questions for the CEO and Chairman (ordered by information value)

1. Your completed-works gross margin is guided at 13% 'and beyond': what share of that is contractual price escalation versus selective order-taking, and what does the margin look like on projects booked in the last 12 months?
2. FY3/26 net income exceeded ordinary income by an unusually large margin: how much of FY3/26 and FY3/27 net income comes from securities sales and property gains, and what is the normalised earnings power without them?
3. Why did you guide FY3/27 operating income down 7.5% when Q1 progress is ahead of average and consensus is already above guidance? What is the assumed margin on early-stage jobs?
4. What loss provisions or cost overruns, if any, exist on fixed-price jobs from the Middle East supply disruption, and how many large projects have escalation clauses?
5. Why did you pay USD 540m for Multiplex, and what is its standalone margin, backlog quality and legacy-dispute exposure? What goodwill and provisions do you expect on closing?
6. What is the target gross margin and return on capital for the overseas business over the next plan, and when will overseas building clear a 5% operating margin?
7. After the 20% cross-holding target is met in March 2027, will sales continue, and what will the recycled proceeds fund: buybacks, M&A or real estate?
8. What payout, ROE and net-cash framework will the successor medium-term plan use? Is DOE 5% a floor?
9. Orders fell 7.2% in Q1 and you flag caution from FY3/28: which client segments are slowing, and what is the order-to-sales ratio you need to protect margin?
10. How are you managing labour capacity under the 2024 overtime cap, and how much of margin gain is productivity versus pricing?
11. What are you doing about the Linear bid-rigging legacy, and what governance change ensures a repeat is impossible? How did the October 2024 safety incident and false statements to inspectors arise?
12. How do you assess unsolicited-approach risk and your defence preparedness in light of METI's 2026 guidance, and would you engage with a bid at a 30%+ premium?
13. Data centres and semiconductors: what is the share of backlog, expected margin versus conventional building, and customer concentration?
14. How do you decide between building capacity organically and acquiring overseas, and what is the ceiling on overseas share of sales?
15. Succession and governance: what is the role of the Chairman and Vice Chairmen alongside the new CEO, and how will the Board's skill mix change under the new plan?

## 23. Short-seller view and accounting red flags

### 23.1 Dismantling the bull case

- **What structurally breaks the earnings model:** profit is a function of a few large domestic building jobs priced during a capacity shortage. Domestic building generates 53% of operating income. If order flow weakens and peers bid for volume, the 13% gross-margin plateau collapses; a mere 1pt margin loss is a JPY 29bn (c.15%) cut to OP.
- **Revenue concentration:** public clients (MLIT, JR Tokai) and a handful of developers; Linear schedule slippage (opening 2034-36+) defers civil volume. A shift in developer capex from higher rates is the most plausible trigger.
- **Why the moat is weaker than it looks:** a contractor's brand does not command a consumer premium; Kajima, Taisei and Shimizu are near-perfect substitutes; clients can run competitive tenders. The 2023-26 margin came from scarcity pricing and a legacy-loss roll-off, both cyclical.
- **Most dangerous underestimated competitor:** Taisei, with the highest operating margin (c.9%), a cleaner balance sheet narrative and the ability to buy mid-tier peers (Toyo), could out-execute in data centres and complex infrastructure. On the overseas side, Hochtief/Turner, which dominates US data-centre construction, is the competitor Webcor and GCON ultimately face.
- **Capital allocation concerns:** a decade of cash accumulation and cross-holdings (JPY 289bn) with ROIC only 8%; an acquisition of Multiplex (a business that has had losses and fixed-price disputes†) after the best earnings year ever; a JPY 40bn buyback programme whose execution prices we could not verify as the stock ran toward JPY 4,439.
- **What must hold for the price to be justified:** gross margin stays at c.13%, order backlog stays above 1x sales, gains continue, and no large fixed-price loss. If growth disappoints 20-30% (OP JPY 140-155bn), EPS falls to c.JPY 150-170 and at a 12x P/E the stock is JPY 1,800-2,040 (-32% to -40%).
- **The single permanently-impairing scenario:** a large fixed-price overseas or civil loss combined with a public-works suspension after a compliance breach, in a high-rate construction downturn. Plausibility: low but not negligible (10-15% over three years), given Linear history, the Multiplex legacy and the cost environment.

## 23.2 Accounting and disclosure red flags

| Area                                                    | Observation                                                                                                                                                                                                                                                                             | Risk level       |
|---------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|
| Revenue recognition                                     | Cost-to-cost percentage of completion relies on management's estimate of total costs; changes in estimates move profit materially (FY3/23-24 cost surprises). Large 'additional and change orders' were a key FY3/26 profit driver; check how much is recognised before client approval | High             |
| Loss provisions / contingencies                         | Provisions for construction-contract losses, defect warranties and the bid-rigging legacy (JFTC surcharge c.JPY 3.1bn, litigation by clients) require reading the yuho; overseas disputes (US, Multiplex) are the principal unknown                                                     | Medium-high      |
| Segment reporting                                       | Company-defined segments; 'real estate and other' bundles property gains and group services (c.JPY 23bn derived OP). Segment D&A, assets and capex need the yuho notes; segment net income not disclosed                                                                                | Medium           |
| Earnings quality: non-operating and extraordinary items | Net income above operating income in FY3/26 and Q1 FY3/27; securities sales gains (c.JPY 20bn in Q1) recur by policy but will run out; cash flow from sales is investing, not operating                                                                                                 | High             |
| Leases                                                  | JGAAP: operating leases are off balance sheet; no IFRS 16 comparability with Vinci/Skanska/Hochtief. EV/EBITDA is flattered versus IFRS peers                                                                                                                                           | Medium           |
| Goodwill and intangibles                                | GCON (undisclosed price), MWH (c.USD 126m), Multiplex (c.JPY 86bn) will add goodwill amortised over a fixed period under JGAAP (a drag), and impairment risk if overseas margins disappoint                                                                                             | Medium-high      |
| Related parties                                         | None found in available summaries; Obayashi family chairman holds 2.46%; check yuho related-party note and any family-linked property transactions                                                                                                                                      | Low (unverified) |
| Stock-based compensation                                | Immaterial (restricted-share awards for directors); low dilution; not a concern                                                                                                                                                                                                         | Low              |
| Cash flow                                               | Operating cash flow volatile (JPY 50bn to JPY 253bn in five years†): driven by working capital on progress billings, retentions and advance payments; FCF yield of 8.1% overstates sustainable cash                                                                                     | Medium           |
| Balance-sheet items                                     | Investment securities of JPY 289bn marked to market (equity gains in OCI); pension obligations (JGAAP); consolidated JV treatment (proportionate)                                                                                                                                       | Medium           |

## 24. Timeline of past events and calendar of upcoming catalysts

### 24.1 Key past events

| Date                | Event                                                                                                              |
|---------------------|--------------------------------------------------------------------------------------------------------------------|
| 1892                | Founded in Osaka by Yoshigoro Obayashi                                                                             |
| 1978-2015           | US platform built: James E. Roberts-Obayashi (1978), E.W. Howell (1989), Webcor (2007), Kraemer (2014-15)          |
| 2017                | Obayashi Road taken private by tender offer                                                                        |
| Dec 2017 - Mar 2018 | Linear Chuo Shinkansen bid-rigging probe; indictment; president Shiraiishi resigns; Kenji Hasuwa becomes president |
| Dec 2020 - 2021     | JFTC surcharge order (c.JPY 3.1bn); JPY 200m court fine; four-month Tokyo suspension                               |
| Apr 2022            | Medium-Term Business Plan 2022 starts                                                                              |
| 7 Nov 2022          | FY3/23 forecast cut on building cost inflation                                                                     |
| 28 Jun 2023         | Silchester proposal; c.26.8% support                                                                               |
| Jan 2024            | MWH acquisition (90%)                                                                                              |
| Mar - May 2024      | Capital policy: DOE c.5%, ROE 10%+; stock limit-up on 5 Mar 2024                                                   |
| Oct 2024            | Chuo Shinkansen tunnel injury; later false-statement summary fines (Mar 2026)                                      |
| Feb - Jun 2025      | First buyback tranche (up to 20m shares)                                                                           |
| 1 Apr 2025          | Toshimi Sato becomes President and CEO; Hasuwa to Vice Chairman                                                    |
| 13 May 2025         | FY3/26 guide: net income -32%; shares fall c.9% intraday                                                           |
| Aug 2025            | Share cancellation and JPY 40bn buyback†                                                                           |
| Oct - Dec 2025      | GCON agreed (17 Oct) and closed (1 Dec)                                                                            |
| 27 Feb 2026         | All-time high JPY 4,439                                                                                            |
| 13 May 2026         | FY3/26 results (OP JPY 194.7bn, +36.6%); FY3/27 guide OP -7.5%                                                     |
| 18 Jun 2026         | Multiplex acquisition announced (USD 540m)                                                                         |
| 29 Jun 2026         | 122nd AGM: board of 10, three women; Tomita joins                                                                  |
| 7 Aug 2026          | Q1 FY3/27: OP +107%; orders -7.2%                                                                                  |
| 19 Aug 2026         | YTD low JPY 2,891                                                                                                  |
| 18 Sep 2026         | BOJ policy rate reportedly raised to 1.25%†                                                                        |

## 24.2 Upcoming catalysts (dates inferred from prior years unless stated; confirm on the IR calendar)

| Timing                                 | Catalyst                                                                                                                             | What to watch                                                                |
|----------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------|
| By 30 Sep 2026 (unconfirmed)           | Multiplex closing                                                                                                                    | Closing date, final price, net debt assumed, goodwill                        |
| 29-30 Oct 2026                         | BOJ meeting with outlook report                                                                                                      | Rate path; construction financing costs                                      |
| Early/mid Nov 2026 (prior-year: 5 Nov) | Q2 / H1 FY3/27 results                                                                                                               | Orders, gross margin, whether guidance is raised, interim DPS (JPY 47)       |
| 17-18 Dec 2026                         | BOJ meeting; Japan FY2027 budget (resilience spending)                                                                               | Public-works budget size                                                     |
| Late 2026 onward                       | Linear Shizuoka section works start                                                                                                  | Contract awards and JV share                                                 |
| c.9 Feb 2027                           | Q3 FY3/27 results                                                                                                                    | Full-year guidance revision; gain recognition                                |
| Mar 2027                               | Cross-holding 20% target date; fiscal year-end                                                                                       | Residual sales; buyback completion                                           |
| c.mid-May 2027                         | FY3/27 results and successor medium-term plan (likely)                                                                               | ROE, payout, net-cash and M&A frameworks                                     |
| Late Jun 2027                          | 123rd AGM                                                                                                                            | Board changes; shareholder proposals                                         |
| Ongoing                                | Large project awards (Tokyo redevelopments, data centres, rail), Middle East cost developments, JFTC/MLIT actions, M&A in the sector | Pricing and order data from peers (Kajima, Taisei, Shimizu quarterly orders) |

## Appendix: data confidence, conflicts and primary sources

| Item                                                          | Confidence | Note                                                                                                                                                        |
|---------------------------------------------------------------|------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------|
| FY3/26 sales, OP, NI, DPS, FY3/27 guidance                    | High       | Consistent across Nikkei, BUILT, japanir and company-linked headlines (NI 173.7-173.9bn rounding)                                                           |
| Q1 FY3/27 sales 623.4bn, OP 32.7bn, NI 39.0bn, orders 577.5bn | High       | Consistent across Jiji, Kabutan and Yahoo Japan; one summary's JPY 45.9bn / 131bn figures and another's JPY 523.8bn were garbled or are the prior-year base |
| FY3/22-25 history                                             | Medium     | Single-table source; FY3/25 sales conflict (2,590.8bn vs 2,620.1bn)                                                                                         |
| Segment data FY3/26                                           | Medium     | Overseas civil OP conflicts (14.7bn vs 8.3bn); orders/backlog from secondary summaries                                                                      |
| Net cash, debt, cash                                          | Medium-low | Stockanalysis-type summary; another source shows debt JPY 344bn                                                                                             |
| Share price, market cap, 52-week range                        | Medium     | Kabutan/Nikkei-type snippets; undated EV figures (JPY 1.75tn) were not used                                                                                 |
| Peer multiples                                                | Low-medium | Mixed-date aggregator data; regression is indicative (n=7)                                                                                                  |
| Board, top-10 holders                                         | Medium     | From search summaries of the yuho and AGM notice; Sasagawa's status conflicts                                                                               |
| Buyback and treasury-share detail                             | Low        | Programme outline found; amounts, balances and cancellations incomplete                                                                                     |
| Earnings-call content                                         | Low        | Transcripts not accessible; sentiment is headline-based                                                                                                     |
| Price moves >10%                                              | Low        | Only one dated; no daily series                                                                                                                             |

Primary documents to verify (not accessible here): FY3/26 tanshin ([data.swcms.net .../140120260512524360.pdf](https://data.swcms.net/.../140120260512524360.pdf)); FY3/26 presentation and Q&A ([ir.obayashi.co.jp, news202605131202en](https://ir.obayashi.co.jp/news202605131202en) and [news202605261500en](https://news202605261500en)); Q1 FY3/27 tanshin and presentation ([auto\\_20260806512662](https://auto_20260806512662), [news202608071600en](https://news202608071600en)); 2025 and 2026 Integrated Reports ([ir.obayashi.co.jp/en/ir/data/report/ ... ir2026en.pdf](https://ir.obayashi.co.jp/en/ir/data/report/...ir2026en.pdf)); Medium-Term Plan 2022 addendum ([obayashi.co.jp/company/upload/file/mid\\_term\\_plan2022\\_add\\_J.pdf](https://obayashi.co.jp/company/upload/file/mid_term_plan2022_add_J.pdf)); AGM notice and voting results (March and June 2026 releases); yuho on EDINET.

*This report is research, not investment advice. Figures marked † were not verified against a primary filing. Ticker for Obayashi is 1802 JT (Tokyo Stock Exchange); '1802 JY' in the request has been read as 1802 JT.*